

Accounting Business and Society

–Sustainability Accounting & Decision Making

WEEK1

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Key concepts

- 01 Sustainability Risks
- 02 Organisation' s Externalised costs
- 03 Triple Bottom Line Reporting
- 04 Key Performance Indicator
- 05 Environmental Costs

Sustainability Risks

- Complex and multifaceted
 - Physical risks
 - Transition risks
- Externalities
 - Climate change
- Sustainability Practice



Organisation's Externalised costs

Conceptualising external costs

- The extent to which organisations knowingly or unknowingly cause the incurrence of costs owing to the second- and third-order effects of their actions, is an **external cost**.
- These costs are typically not recognised in an accounting system.



Organisation's Externalised costs

- Consider a factory that pollutes the rivers surrounding a rural community in which it operates – to what extent can our profit and loss statements capture the financial impact of that pollution?
- How do we fine this company, if they are caught? We not only consider the clean-up cost, but also the cost relating to less healthy communities brought about by the lower grade drinking water.
- Most of these costs are certainly not acknowledged in the P&L.



Triple Bottom Line Reporting(TBL)

- An accounting framework that incorporates three dimensions of performance:
 - social, environmental and financial.
- 3Ps
 - people
 - planet
 - profits

What is a Key performance indicator? (KPI)

- Measurable value that reports progress against a result
- Inspires action
 - What is the objective?
 - How is it measured?
 - Will it inspire action?
 - what is the timeframe?

Environmental Costs

Environmental costs are referred as the costs incurred by the organisation in relation to the control and management of environmental impacts of its business operations.

- ☐ Prevention costs
- ☐ Appraisal costs
- ☐ Internal failure costs
- ☐ External failure costs



Prevention costs

- Organisations might expend resources to reduce or eliminate the likelihood that environmental problems will arise in the future.
- For example, an organisation that implements a filtration system to eliminate chemical spillage into river streams .



Appraisal costs

- Investments in technologies or practices to monitor an organisation's environmental exposures.
- For example, Qantas might invest a few hundred thousand dollars to implement electronic monitoring systems that measure fuel emissions of its aircraft as they age. When older airplanes with more dated engines start to show higher fuel emissions, Qantas might consider retiring them from service.



Internal failure costs

- Expenditures incurred to address problems that arise within the company, arising from negative sustainability related events affecting any company resource
- For example, in November 2011, Orica's Kooragang Chemical plant experienced an ammonia leak. If employees had to be hospitalised owing to the leak, internal failure costs are the costs incurred by Orica to rehabilitate and cover the medical expenses of these employees.



External failure costs

- The environmental problems caused by an organisation often have broader societal impacts.
- Costs incurred to alleviate these broader societal and environmental impacts are external failure costs.
- For example, the approximately USD \$40 billion clean-up bill incurred by BP for the Gulf of Mexico oil spill



Assessment

Tutorial portfolio - Online quizzes:

This quiz is based on the week 11 learning materials. You may complete this anytime during week 11, you may use your study notes.

You have TWO attempts to complete this quiz.

Due time for your weekly quiz is on Canvas, please check it by yourself.